

OATI webCTRM Risk Management

OATI webCTRM Risk Management offers traders the most sophisticated, fully integrated risk management platform in the market. Built around advanced analytics, OATI webCTRM Risk Management effortlessly converts the vast volume of data inherent in commodity trading into accurate assessments of risk exposure.

OATI webCTRM Risk Management provides the tools traders require to convert market uncertainties into assets by monitoring and quantifying the underlying risk factors—all while building a bulletproof audit and compliance record.

OATI webCTRM Risk Management - A Comprehensive Approach

Risk within commodity markets consists of four distinct operational categories; market, credit, regulatory, and enterprise. Comprehensive risk management demands an integrated treatment of all four categories. Anything less leaves the trader to vulnerable to loss.

OATI webCTRM Risk Management's robust functionality can be customized to model the most sophisticated and rigorous business rules. This full integration eliminates ad hoc arrangements of disparate processes and applications, bringing complete control to the risk management operation.

webCTRM Risk Management Capability Overview

- **Market risk:**
 - Forward curve builder with seasonality function
 - Calibrates parameters using actual market quotes
 - Calculates mark-to-market, value at risk and Greek sensitivities
 - Stress test any trade
 - Monitors and manages operational and risk limits
- **Credit risk:**
 - Calculates current and potential future exposures
 - Assesses and tracks inbound and outbound collateral requirements
 - Generates internal credit scores buttressed by agency ratings for credit allocation decisions
 - Calculates trader cost of credit
 - Calculates Standard & Poor's recommended Market Event and Credit Event Liquidity Adequacy (MCELA) Credit Event and Liquidity Adequacy (CELA) ratios
- **Regulatory risk:**
 - Maintains compliance with FAS 133, FAS 157, and FAS 161
- **Enterprise-wide risk:**
 - Uses Monte-Carlo simulation—powered by Imam-Conover correlated sampling method—to assess revenue-at-risk, earnings-at-risk, and cash flow-at-risk

Forward Curve Builder Proven in the Energy Industry

OATI webCTRM Risk Management was forged in the volatile world of energy trading where the data available frequently limits forward looks to 18 months and is driven by historical trends. OATI has converted its industry leading knowledge into a unique forward curve builder that accurately projects risk well beyond the 18 month horizon, a potential competitive advantage.

This singular engine provides traders with:

- Price visibility to the commodity markets, at time frames you specify
- Innovative quantitative approach that uses actual market quotes and other variables
- Built-in flexibility to accommodate business practices
- Ability to determine at-risk financial measures for the RTO and ISO market participants through rigorous stochastic analysis
- The tools to bypass more complex programming methods typically used in the energy industry—with improved results

Data Integrity - the OATI Advantage

Communication of data between applications carries the potential for data corruption, loss, theft, and other errors. With the increased requirements for transparency and auditability from regulators, a risk management system shouldn't introduce risk by the way it handles data.

OATI webCTRM Risk Management eliminates this risk via its proven software-as-a-service (SaaS) model. All software and data are housed in OATI's North American Electric Reliability Corporation (NERC) Critical Infrastructure Protection (CIP) compliant data center. Users access data and utilize the system's functionality within this extraordinarily secure environment.

The users of webCTRM Risk Management are assured of:

- Communication via the OATI Private Cloud system for unrivaled security
- Continuous access to the most current version of the webCTRM software—eliminating unpatched or outdated software vulnerabilities
- Software updated to meet new regulations—always in compliance
- Dedicated data resources
- 24/7/365 Support
- Always on and available systems using:
 - Active-active data centers for the ultimate in redundancy and availability
 - Data centers housed in OATI designed and operated micro-grid facilities
 - Server virtualization for unmatched scalability and reliability

End-to-End Operational Automation

While the devil is in the details when it comes to risk management, the details can slow the pace of decision making and consume resources that could be put to more profitable use. A fundamental benefit of OATI webCTRM Risk Management is the optimization and automation of the daily activities of front, middle, and back office operations.

With OATI webCTRM Risk Management, your focus will be firmly on your business, confident the system is handling all the details.

The Benefits of an Integrated System
Enhances productivity
Assesses optimal return on risk capital
Promotes effective disclosures
Preserves operation transparency
Empowers risk control

